



1. Marketing vs. Advertising (Recap from Week 1)

Your topic list includes this, which was covered in your first lecture. For your exam, the key difference is:

- **Marketing:** The overall **strategy** of identifying customer pain points and creating a valuable solution for them. (Focus: Value Creation).
 - **Advertising:** A *component* of marketing.¹ It is the **tactic** of promoting and communicating that solution to your customers. (Focus: Messaging & Visibility).
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2. The Marketing Mix (The 4Ps)

This is a fundamental model. Expect questions like "Which 'P' does 'packaging' fall under?"

The Marketing Mix consists of 4 key elements:

- **Product**
 - This is the solution you offer.
 - *Includes:* Features, Quality, **Branding, Packaging**, Services, Warranties.
 - **Price**
 - The value exchanged for the product.
 - *Includes:* Price strategy, Pricing, Allowances, **Discounts**, Payment terms.²
 - **Place**
 - How and where the customer accesses the product.
 - *Includes:* **Channels** (distribution), Market coverage, Assortment, **Location**, Inventory, Transport.
 - **Promotion**
 - How you communicate with your target market.
 - *Includes:* Sales Promotion, **Advertising, Public Relations** (PR), Direct Marketing.
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3. Product Levels (A Deeper Look at "Product")

A product is more than just a physical item.³ It's a bundle of benefits. You must know these 3 levels.

1. **Core Product (Core Customer Value)**

- **Definition:** This is *not* the tangible product. It is the core **benefit** or **problem-solving value** the customer is buying.
- *Example:* For Emirates, the core product is **transportation** and covering the globe.

2. **Actual Product**

- **Definition:** The **tangible, physical product** and its attributes.
- *Example:* For an iPhone, this is the device itself, the **brand name** (Apple), the **design, packaging, and features**.

3. **Augmented Product**

- **Definition:** The **non-physical, added value** and services that come *with* the actual product.
- *Example:* For an iPhone, this is the **warranty, after-sale service** (like the Genius Bar), and product support.⁴

4. Key Pricing Strategies

The slides highlight three specific strategies. Be ready to match the strategy to its description.

1. **Price Skimming**

- **What it is:** Launching a product with a **high initial price** and then lowering it over time.
- **Goal:** To "skim" maximum revenue from customers willing to pay the premium (early adopters).
- *Example:* **Apple's iPhone** launches.

2. **Penetration Pricing**

- **What it is:** Launching a product with a **low initial price**.
- **Goal:** To quickly attract a large number of buyers and gain market share.

3. **Psychological Pricing**

- **What it is:** Using pricing to influence a customer's perception of value.
 - *Example:* Pricing an item at **Rs. 99** instead of Rs. 100, making it seem significantly cheaper.
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5. Blue Ocean vs. Red Ocean Strategy

This is a major concept. The whiteboard photo and slides provide a clear comparison.

Feature	 Red Ocean Strategy	 Blue Ocean Strategy
Market Space	Compete in existing market space.	Create uncontested market space.
Competition	Goal is to beat the competition.	Goal is to make the competition irrelevant .
Demand	Exploit existing demand.	Create and capture new demand.
Value/Cost	Make the value-cost trade-off (Choose Differentiation <i>OR</i> Low Cost).	Break the value-cost trade-off (Pursue Differentiation <i>AND</i> Low Cost).

The key takeaway is that **Blue Ocean Strategy** is about creating a new market for yourself where there are no competitors.⁵

6. Devising a Blue Ocean Strategy (The Core Idea)

- How do you create a Blue Ocean? Through **Value Innovation**.
 - **Definition of Value Innovation:** This is the **cornerstone** of Blue Ocean Strategy. It is the **simultaneous pursuit of differentiation (higher value) AND low cost**.
 - This is what allows a company to *break* the value-cost trade-off.
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7. Frameworks for Blue Ocean Strategy

The slides provide two key frameworks for *how* to find a Blue Ocean.

Framework 1: The Four Actions Framework (ERRC Grid)

This framework helps you create a new value curve by asking four key questions.

- **Eliminate:** Which factors that the industry takes for granted should be eliminated?
- **Reduce:** Which factors should be reduced well *below* the industry standard?
- **Raise:** Which factors should be raised well *above* the industry standard?
- **Create:** Which factors should be created that the industry has *never* offered?

Framework 2: The Six Paths Framework

This framework helps you find new market opportunities by looking in different places. The Pakistani examples are perfect for MCQs.

Path	How to Find It	Pakistani Example (from slides)
1. Alternative Industries	Look across different industries that solve the same problem.	Careem: Merged technology with transport (an alternative to public transport).
2. Strategic Groups	Look across different groups of competitors within an industry.	Sapphire: Made high fashion (designer quality) accessible to middle-income customers.
3. Chain of Buyers	Look at a different buyer group (e.g., influencers, not just end-users).	Nestlé: Shifted focus to mothers as the key decision-makers.
4. Complementary Products	Look at the products/services used	Khaadi: Expanded from clothing to complementary

	<i>with yours.</i>	products like home décor.
5. Functional/Emotional Appeal	Look at changing from a functional appeal to an emotional one, or vice-versa.	Jazz: Transitioned from selling network functionality to a "lifestyle of youth empowerment."
6. Across Time (Trends)	Look at external trends and how they will shape the future.	Zameen.com: Leveraged the digitalization trend to create an online real estate market.
